



Republic of the Philippines
HOUSE OF REPRESENTATIVES
Quezon City, Metro Manila

Twentieth Congress
First Regular Session



HOUSE BILL NO. 4433

Introduced by Representative Johanne Monich G. Bautista

EXPLANATORY NOTE

The rapid advancement of Artificial Intelligence (AI) presents both opportunities and challenges in the workplace. It can enhance productivity and, at the same time, pose serious threat to job displacement of workers.

The Philippine government has recognized the transformative potential of AI. In fact, President Ferdinand R. Marcos, Jr. himself declared AI as a national imperative recognizing that our survival in the Fourth Industrial Revolution hinges on how we embrace this powerful technology.¹ The International Monetary Fund reported that nearly four out of ten jobs in the Philippines are highly exposed to AI, with great potential to either displace workers or support various tasks to boost the productivity of employees.² Majority of these highly exposed jobs are complementary to the introduction of AI technologies and systems in the workplace. Thus, although AI is fast emerging, human labor does not necessarily need to be sacrificed.

The existing labor laws do not sufficiently address the complexities of AI-driven work displacements. While existing laws on redundancy provide protection, these are insufficient to respond to large-scale and systematic changes due to the implementation of AI technologies and systems in the workplace. Thus, there is a need for legislation for a comprehensive framework to prepare and protect the rights and welfare of the workforce for the inevitable transition toward an AI economy.

¹ AI as a national imperative: Building a smarter, stronger Philippines, Business World, at <https://www.bworldonline.com/opinion/2025/07/16/685370/ai-as-a-national-imperative-building-a-smarter-stronger-philippines/#:~:text=President%20Ferdinand%20Marcos%2C%20Jr.,we%20embrace%20this%20powerful%20technology>, last accessed on 19 August 2025.

² IMF sees 36% of PH Jobs eased or displaced by AI, Inquirer.net, at <https://newsinfo.inquirer.net/2018883/imf-sees-36-of-ph-jobs-eased-or-displaced-by-ai>, last accessed on 19 August 2025.

This bill seeks to institutionalize a national policy on responsible introduction and implementation of AI in the workplace. It is anchored on the principle that technological progress must serve the welfare of the people, and not at the expense of their livelihood. The bill has three main features: (1) social protection; (2) employment transition; and (3) regulatory measures. Ultimately, this bill provides a proactive and humane response to the challenges of AI, and ensures that technological advancement is a force for inclusive progress and prosperity.

In view of the foregoing, the immediate approval of this bill is earnestly sought.


JOHANNE MONICH G. BAUTISTA
Representative, TRABAHO Party-List



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AN ACT PROVIDING SOCIAL PROTECTION, EMPLOYMENT TRANSITION, SKILLS DEVELOPMENT PROGRAMS, AND REGULATORY MEASURES FOR WORKERS AFFECTED BY THE RAPID ADVANCEMENT AND INTEGRATION OF ARTIFICIAL INTELLIGENCE (AI) IN THE WORKPLACE, INSTITUTIONALIZING A NATIONAL FRAMEWORK FOR RESPONSIBLE AI USE AND WORKFORCE PREPAREDNESS, AMENDING FOR THE PURPOSE PRESIDENTIAL DECREE NO. 442, OTHERWISE KNOWN AS THE “LABOR CODE OF THE PHILIPPINES,” AS AMENDED, AND FOR OTHER PURPOSES

Be it enacted by the Senate and the House of Representatives of the Philippines in Congress assembled:

SECTION 1. *Short Title.* — This Act shall be known as the “*Assistance for Workers Affected by Rapid Emergence (AWARE) of Artificial Intelligence Act.*”

SECTION 2. *Declaration of Policy.* — The State recognizes that science and technology are essential for national development. Further, the State is mandated by the Constitution to encourage and regulate the transfer of technology for the national benefit. Towards this end, the State shall promote the responsible development and use of Artificial Intelligence (AI) for the advancement of inclusive growth, improvement of public service delivery, and promotion of innovation, which in turn will contribute to long-term national development. It shall also ensure that AI is used in a manner that is ethical, inclusive, equitable, and responsible.

While the State acknowledges the transformative potential of AI in driving innovation and economic growth, it is equally mandated to afford full protection to labor. Recognizing the industry-wide effects of AI technologies in rendering certain jobs obsolete or significantly altering the nature of work, the State shall establish appropriate mechanisms and safety nets to support workers who may be displaced as a result of advancements in AI technologies.

SECTION 3. *Definition of Terms.* - For purposes of this Act, the following terms shall be defined as follows:

- (a) ***Artificial Intelligence*** or ***AI*** refers to a machine-based technology or system developed using techniques such as machine learning, logic or rule-based systems, or statistical approaches, that is capable of making predictions, recommendations, or decisions influencing real or virtual environments, for a given set of human-defined objectives. It likewise refers to technologies or systems that enable computers and machines to emulate human intelligence and problem-solving capabilities;
- (b) ***Displaced employee*** refers to an employee whose employment has been terminated or laid off, where the reskilling or upskilling are futile and offer of alternative employment opportunities is not possible, due to the implementation of AI technologies or systems that render their job position obsolete; and
- (c) ***Transitioning employee*** refers to an employee whose current job or function is being affected by the implementation of AI technologies or systems but who remains employed while undergoing reskilling or upskilling programs to transition into a new or modified job function or role within the same organization or workplace.

SECTION 4. *Application.* - This Act shall only apply to work arrangements where employer-employee relationship exists.

SECTION 5. *Registration of use of AI in the workplace.* — Employers who implement AI technologies or systems in any aspect of the workplace, including, but not limited to, recruitment, performance evaluation, task automation, employee monitoring, workplace safety, productivity management, or other operational functions, shall register the use of AI systems with the Department of Labor and Employment (DOLE), within thirty (30) days from the implementation of the AI technology or system, in accordance with the rules and regulations to be provided by the DOLE.

The registration shall include details on the AI system's purpose, scope, functions and potential impact on employment, workplace conditions and worker welfare, among other information as may be required by DOLE.

Employers who have implemented AI technologies or systems prior to the effectivity of this Act shall comply with the registration requirement within ninety (90) days from the release of the registration process provided by the DOLE.

SECTION 6. A new article denominated as Article 298-A is hereby inserted after Article 298 of Presidential Decree (PD) No. 442, otherwise known as the "Labor Code of the Philippines," as amended and renumbered (Labor Code), to read as follows:

**"ART. 298-A. *ADOPTION OF ARTIFICIAL INTELLIGENCE.* —
THE EMPLOYER MAY TERMINATE OR LAY-OFF THE
EMPLOYMENT OF ANY EMPLOYEE DUE TO THE INSTALLATION
OR IMPLEMENTATION OF ARTIFICIAL INTELLIGENCE (AI)
TECHNOLOGIES OR SYSTEMS, RENDERING THE EMPLOYEE'S**

POSITION REDUNDANT, AND AFTER COMPLYING WITH THE FOLLOWING STANDARDS:

- (a) THERE MUST BE A *BONA FIDE* INTRODUCTION OR IMPLEMENTATION OF AI TECHNOLOGIES OR SYSTEMS;**
- (b) THE INTRODUCTION OR IMPLEMENTATION MUST BE UNDERTAKEN IN GOOD FAITH;**
- (c) THE PURPOSE FOR SUCH INTRODUCTION OR IMPLEMENTATION MUST BE VALID SUCH AS TO SAVE ON COST, ENHANCE EFFICIENCY, AND OTHER JUSTIFIABLE ECONOMIC REASONS;**
- (d) THERE MUST BE FAIR AND REASONABLE CRITERIA IN SELECTING EMPLOYEES TO BE TERMINATED; AND**
- (e) EMPLOYEES CONCERNED AND THE DOLE, THROUGH ITS RELEVANT FIELD OFFICE, HAVE BEEN NOTIFIED AT LEAST THIRTY (30) DAYS BEFORE TERMINATION, IN ACCORDANCE WITH ARTICLE 298-C.**

IF THE AI TECHNOLOGY OR SYSTEM IMPLEMENTED IS NOT REGISTERED WITH THE DOLE PURSUANT TO SECTION 5 OF THIS ACT, THERE ARISES A *PRIMA FACIE* PRESUMPTION THAT THE INSTALLATION OR IMPLEMENTATION OF THE SAME WAS DONE IN BAD FAITH.

THE EMPLOYEE AFFECTED SHALL BE ENTITLED TO SEPARATION PAY EQUIVALENT TO AT LEAST ONE (1) AND A HALF MONTH PAY FOR EVERY YEAR OF SERVICE. THIS IS WITHOUT PREJUDICE TO ANY HIGHER BENEFITS THAT MAY BE PROVIDED BY ANY EXISTING LAW, COMPANY POLICY, COLLECTIVE BARGAINING AGREEMENT, OR ANY OTHER APPLICABLE RULE OR REGULATION.”

SECTION 7. A new article denominated as Article 298-B is inserted after the new Article 298-A of the Labor Code to read as follows:

“ART. 298-B. *RESKILLING AND TRANSITION PROGRAMS.* – IN CASES WHERE THE INSTALLATION OR IMPLEMENTATION OF AI TECHNOLOGIES OR SYSTEMS IN THE WORKPLACE MAY RESULT TO THE PHASING OUT OF CERTAIN JOB ROLES, POTENTIALLY LEADING TO EMPLOYEE TERMINATION OR DISPLACEMENT, THE EMPLOYER SHALL:

- (a) AS A PRIMARY OPTION, PROVIDE OR FACILITATE RESKILLING AND/OR UPSKILLING PROGRAMS TO HELP EMPLOYEES TRANSITION TO NEW FUNCTIONS OR**

ROLES WITHIN THE ORGANIZATION WHERE SUCH AI TECHNOLOGY OR SYSTEM ARE TO BE IMPLEMENTED;

- (b) IN THE EVENT THAT THE PROVISION OF RESKILLING AND/OR UPSKILLING PROGRAMS IS NOT FEASIBLE, AND BEFORE THE IMPLEMENTATION OF THE AI TECHNOLOGIES OR SYSTEMS, OFFER ALTERNATIVE EMPLOYMENT OPPORTUNITIES WITHIN THE ORGANIZATION, WHENEVER PRACTICABLE; OR**
- (c) ENDORSE THE DISPLACED EMPLOYEE/S TO THE DOLE AND THE PUBLIC EMPLOYMENT SERVICE OFFICE OF THE CITY/IES OR MUNICIPALITY/IES WHERE THE EMPLOYEE AND THE EMPLOYER IS/ARE BASED IN THE EVENT THAT THE EMPLOYER IS UNABLE TO OFFER ALTERNATIVE EMPLOYMENT AFTER EXERTING REASONABLE EFFORTS.**

IN THIS REGARD, THE TECHNICAL EDUCATION AND SKILLS DEVELOPMENT AUTHORITY (TESDA) SHALL DEVELOP, IMPLEMENT, AND REGULARLY UPDATE TECHNICAL-VOCATIONAL EDUCATION AND TRAINING (TVET) PROGRAMS FOCUSED ON AI AND RELATED FIELDS. THE TESDA SHALL ENSURE THAT THE AFFECTED WORKERS HAVE ACCESS TO AI-RELATED RESKILLING AND UPSKILLING PROGRAMS, IN COORDINATION WITH EMPLOYERS, THE DOLE, LOCAL GOVERNMENT UNITS, AND OTHER RELEVANT STAKEHOLDERS.

TESDA'S PROGRAMS SHALL INCLUDE TRAINING IN MACHINE LEARNING, DATA SCIENCE, AI ETHICS, AUTOMATION TECHNOLOGIES, AND OTHER EMERGING AI DISCIPLINES ALIGNED WITH INDUSTRY DEMAND. THE TESDA SHALL ALSO FACILITATE THE ACCREDITATION AND CERTIFICATION OF AI COMPETENCIES TO ENHANCE EMPLOYABILITY AND CAREER ADVANCEMENT OPPORTUNITIES FOR DISPLACED OR TRANSITIONING WORKERS."

SECTION 8. *Notification and Submission of Personnel Improvement Plan (PIP).* – Employers shall submit a Personnel Improvement Plan (PIP) report to the DOLE, demonstrating that they have complied with the conditions provided under Section 7 of this Act at least ninety (90) days before terminating any employee.

The PIP shall include, but not be limited to, the following:

1. The roles or functions likely to be affected by the introduction of the AI system or technology;
2. The new or existing roles or functions that may be created or filled as a result of such introduction;

3. The programs or training designed to assist transitioning employees in assuming their new roles;
4. In cases where upskilling or reskilling programs are not feasible, the measures undertaken by the employer to identify and provide alternative positions within the organization for affected employees; and
5. Other related and relevant information as may be required by the rules and regulations of this Act.

SECTION 9. A new article denominated as Article 298-C is inserted after the new Article 298-B of the Labor Code to read as follows:

“ART. 298-C. NOTIFICATION PRIOR TO TERMINATION. – THE EMPLOYER SHALL NOTIFY THE EMPLOYEES CONCERNED AND THE DOLE AT LEAST THIRTY (30) DAYS BEFORE THE EFFECTIVITY OF ANY TERMINATION DUE TO THE IMPLEMENTATION OF AI TECHNOLOGIES OR SYSTEMS.”

SECTION 10. *Termination Report to DOLE.* – Within thirty (30) days from the effective date of displacement of employees due to the implementation of AI technologies or systems, the employer must submit a report to the DOLE containing the following information:

- (a) List of all employees who have been displaced or retrenched as a result of the adoption or integration of AI technologies or systems;
- (b) AI technologies or systems to be adopted in lieu of human workers solely for operational purposes and other important details thereof;
- (c) Proof of registration of AI pursuant to Section 5 of this Act; and
- (d) Proof that the PIP has been implemented, together with an explanation of why termination remains necessary despite such implementation.

SECTION 11. *Jurisdiction of the Labor Arbiter.* – The Labor Arbiter shall have exclusive jurisdiction to hear and decide grievances or complaints concerning unfair labor practices, wrongful termination or separation, displacement of workers due to AI, and other violations of this Act. The procedure for resolving such complaints shall be governed by the rules and regulations of the DOLE and applicable labor laws.

SECTION 12. *Job Displacement Program.* – The DOLE shall create a Job Displacement Program that will aim to immediately assist and re-employ any worker involuntarily terminated due to the installation or implementation of AI technologies or systems.

SECTION 13. *Additional Tax Deductions for Employers.* – An additional deduction from taxable income of one-half (1/2) of the value of expenses incurred for the conduct of reskilling or upskilling programs for transitioning employees shall be granted to employers: *Provided*, That the deduction shall not exceed Fifteen Million Pesos (PhP15,000,000.00) for a given calendar year.

SECTION 14. *Failure to Provide Reskilling or Upskilling Programs, Alternative Employment, or Proper Endorsement of Displaced Employees.* — Any employer who fails to provide reskilling or upskilling programs, refuses to offer alternative employment to displaced employees or fails to endorse the displaced employees to the appropriate public employment service office, in accordance with Section 7 of this Act shall be subject to a fine of not less than Fifty Thousand Pesos (PhP50,000.00) for every displaced employee and may be liable for damages as provided by law.

SECTION 15. *Circumvention of the law* – Any employer who commits any act or adopts any scheme intended to circumvent or evade the obligations provided under this Act, which results in the displacement or termination of employees, shall be liable to pay a fine of not less than Fifty Thousand Pesos (PhP50,000.00) for every employee so displaced. This is without prejudice to the award of backwages and other appropriate remedies to employees who are found to have been illegally terminated.

SECTION 16. *Construction in favor of labor.* — All doubts in the interpretation and implementation of the provisions of this Act and its implementing rules shall be resolved in favor of labor.

SECTION 17. *Implementing Rules and Regulations.* – The DOLE, in coordination with the Department of Science and Technology, the Department of Trade and Industry, the TESDA, and the Department of Information and Communications Technology shall, within thirty (30) days from the effectivity of this Act, issue such rules, regulations, and forms necessary for the proper implementation of the provisions of this Act.

SECTION 18. *Separability Clause.* — If, for any reason, any section or provision of this Act is declared unconstitutional or invalid, the other sections or provisions which are not affected shall continue to be in full force and effect.

SECTION 19. *Repealing Clause.* — All laws, decrees, executive orders, proclamations, rules and regulations or parts thereof inconsistent herewith are repealed, amended or modified accordingly.

SECTION 20. *Effectivity.* — This Act shall take effect fifteen (15) days from the date of its publication in the Official Gazette or in a newspaper of general circulation.

Approved,